Registration number: 01767386

Howden Joinery Corporate Services

Annual Report and Financial Statements

for the Period from 25 December 2016 to 30 December 2017

WEDNESDAY
A77JDOFR
A18 06/06/2018 #31
COMPANIES HOUSE

Howden Joinery Corporate Services

Contents

Company Information	1
Strategic Report	2
Directors' Report	3 to 4
Statement of Directors' Responsibilities	5
Independent Auditor's Report	6 to 8
Profit and Loss Account	9
Statement of Comprehensive Income	10
Balance Sheet	11
Statement of Changes in Equity	12
Notes to the Financial Statements	13 to 33

Howden Joinery Corporate Services

Company Information

Directors	Theresa Keating Gareth Hopkins Mark Robson
Company secretary	Forbes McNaughton
Registered office	40 Portman Square London W1H 6LT
Auditor	Deloitte LLP 2 New Street Square London United Kingdom EC4A 3BZ

Howden Joinery Corporate Services

Strategic Report for the Period from 25 December 2016 to 30 December 2017

The directors present their strategic report for the period from 25 December 2016 to 30 December 2017.

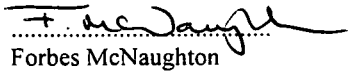
The Company's principal activity is described in the Directors' Report, which is located immediately below this Strategic Report. The Company's financial Key Performance Indicators are as shown in the Profit and Loss Account and Balance Sheet. We do not consider there to be any non-financial Key Performance Indicators relevant to the Company, other than those listed in the Group annual report, as detailed in the paragraph immediately below.

The Group manages its operations on a Group basis and therefore prepares a consolidated group annual report and accounts, including a consolidated strategic report. Pursuant to Section 414(A) (4) of the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013, which provides that a group strategic report may give greater emphasis to the matters that are significant to the undertakings included in the consolidation when taken as a whole, the following information in relation to the Company can be found in the Group annual report on the pages listed:

- Fair review of the business (pgs23-27)
- Description of the principal risks and uncertainties facing the Group and its subsidiary undertakings (pgs 28-32)
- Financial and non-financial KPIs (pg 22)
- Future developments (pgs 9, 26)
- Information about environmental matters, social, community and human rights issues (pgs 35-49)
- Description of culture, purpose, market, business model and strategy (pgs 12-19)
- Information in relation to Group employees, including gender statistics, employee involvement and Group policy on the employment of disabled persons (pgs 69, 93)

This report is available as part of the Group's Annual Report which is available at http://www.howdenjoinerygroupplc.com/ and which does not form part of this report.

Approved by the Board on 23 May 2018 and signed on its behalf by:



Forbes McNaughton
Company secretary

Howden Joinery Corporate Services

Directors' Report for the Period from 25 December 2016 to 30 December 2017

The directors present their annual report and the audited financial statements for the period from 25 December 2016 to 30 December 2017.

Directors
The directors who held office during the period, were as follows:
Theresa Keating
Gareth Hopkins
Mark Robson
Matthew Ingle (resigned 2 April 2018)

Principal activity and employee information
The principal activity of the company is providing and managing employees, professional fees and IT services for other Group companies. There has been no change in the Company's principal activities during the period. The Company had 53 employees during the current period and staff costs amounted to £29.5m, which includes a £20.2m defined benefit pension charge relating to a pension scheme which covers employees across the whole Group.

Dividends
No dividend was proposed or paid during the current or prior period.
Financial instruments

Objectives and policies, price risk, credit risk, liquidity risk and cash flow risk

These are managed on a Group basis. Further information can be found on pages 26-27 of the Howden Joinery Group Plc 2017 Annual Report and accounts, which is available at
http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp

Political donations
The Company did not make any political donations in the current or prior period.

Charitable donations
During the period the company made charitable donations of £320,776. The individual donations are shown below:

	£
Leonard Cheshire Disability - supporting various projects	199,848
Queen Elizabeth Scholarship Trust - sponsoring a scholar	100,000
E-ACT Multi-Academy Trust - community engagement project	20,000
Other small donations to miscellaneous charities	928

Going concern
After making enquiries and taking into consideration the profitability and financial position of the Company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future based on a written commitment of financial support from its ultimate parent company, Howden Joinery Group Plc. The directors continue to adopt the going concern basis in preparing the financial statements.

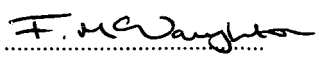
Disclosure of information to the auditors
Each director has taken steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditor is aware of that information. The directors confirm that there is no relevant information that they know of and of which they know the auditor is unaware.

Howden Joinery Corporate Services

Directors' Report for the Period from 25 December 2016 to 30 December 2017

Reappointment of auditors
Deloitte LLP have indicated their willingness to be reappointed for another term and will be deemed to be reappointed in accordance with s485 - 488 of the Companies Act 2006.

Approved by the Board on 23 May 2018 and signed on its behalf by:



Forbes McNaughton
Company secretary

Howden Joinery Corporate Services

Statement of Directors' Responsibilities

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.
Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law), including FRS 101 'Reduced Disclosure Framework' ('FRS 101'). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Independent Auditor's Report to the Members of Howden Joinery Corporate Services

Report on the audit of the financial statements

Opinion
In our opinion the financial statements:
- give a true and fair view of the state of the Company's affairs as at 30 December 2017 and of its loss for the period then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice including Financial Reporting Standard 101 "Reduced Disclosure Framework"; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements of Howden Joinery Corporate Services (the 'Company') for the period from 25 December 2016 to 30 December 2017, which comprise the Profit and Loss Account, Statement of Comprehensive Income, Balance Sheet, Statement of Changes in Equity, and Notes to the Financial Statements, including a summary of significant accounting policies.

The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 101 'Reduced Disclosure Framework' (United Kingdom Generally Accepted Accounting Practice).

Basis for opinion
We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report.

We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern
We are required by ISAs (UK) to report in respect of the following matters where:
- the directors' use of the going concern basis of accounting in the preparation of the financial statements is not appropriate; or
- the directors have not disclosed in the financial statements any identified material uncertainties that may cast significant doubt about the company's ability to continue to adopt the going concern basis of accounting for a period of at least twelve months from the date when the financial statements are authorised for issue.

We have nothing to report in respect of these matters.

Other information
The directors are responsible for the other information. The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.
In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.
We have nothing to report in respect of these matters.

Independent Auditor's Report to the Members of Howden Joinery Corporate Services

Responsibilities of directors
As explained more fully in the Statement of Directors' Responsibilities [set out on page 5], the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.
In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.
A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report
This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Report on other legal and regulatory requirements

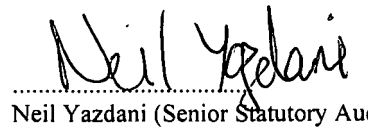
Opinion on other matter prescribed by the Companies Act 2006
In our opinion, based on the work undertaken in the course of the audit:
- the information given in the Strategic Report and Directors' Report for the financial period for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and Directors' Report have been prepared in accordance with applicable legal requirements.

In the light of our knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report and the Directors' Report.

Matters on which we are required to report by exception
Under the Companies Act 2006 we are required to report in respect of the following matters if, in our opinion:
- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in respect of these matters.

Independent Auditor's Report to the Members of Howden Joinery Corporate Services



Neil Yazdani (Senior Statutory Auditor)
For and on behalf of Deloitte LLP, Statutory Auditor

2 New Street Square
London
United Kingdom
EC4A 3BZ

23 May 2018

Howden Joinery Corporate Services

Profit and Loss Account for the Period from 25 December 2016 to 30 December 2017

	Note	25 December 2016 to 30 December 2017 £ 000	27 December 2015 to 24 December 2016 £ 000
Turnover	4	43,845	40,219
Administrative expenses		(54,223)	(47,750)
Operating loss	6	(10,378)	(7,531)
Interest payable and similar charges	7	(5,423)	(2,347)
		(5,423)	(2,347)
Loss before tax		(15,801)	(9,878)
Tax on loss on ordinary activities	11	2,964	1,189
Loss for the period		(12,837)	(8,689)

The above results were derived from continuing operations.

The notes on pages 13 to 33 form an integral part of these financial statements.

Howden Joinery Corporate Services

Statement of Comprehensive Income for the Period from 25 December 2016 to 30 December 2017

	Note	25 December 2016 to 30 December 2017 £ 000	27 December 2015 to 24 December 2016 £ 000
Loss for the period		(12,837)	(8,689)
Items that will not be reclassified subsequently to profit or loss			
Actuarial gain/(loss) on pension scheme, and associated deferred tax	19, 11	(17,900)	(70,162)
Total comprehensive income for the period		(30,737)	(78,851)

The notes on pages 13 to 33 form an integral part of these financial statements.

Howden Joinery Corporate Services

(Registration number: 01767386)
Balance Sheet as at 30 December 2017

	Note	30 December 2017 £ 000	24 December 2016 £ 000
Fixed assets			
Intangible assets	13	10,570	2,913
Property, plant and equipment	12	6,297	7,293
Investment in shares of ultimate parent company	14	68,789	54,274
Deferred tax assets	11	22,340	22,102
		107,996	86,582
Current assets			
Trade and other receivables	15	411,861	206,516
Cash at bank and in hand	16	50	195
		411,911	206,711
Creditors: Amounts falling due within one year			
Trade and other payables	22	(578,787)	(327,039)
Net current liabilities		(166,876)	(120,328)
Total assets less current liabilities		(58,880)	(33,746)
Creditors: Amounts falling due after more than one year			
Provisions for liabilities	21	(4,578)	(2,770)
Defined benefit pension liability	19	(109,261)	(105,989)
Net liabilities		(172,719)	(142,505)
Capital and reserves			
Called up share capital	17	12,358	12,358
Capital contribution reserve		280,315	280,315
Share-based payments reserve		28,799	28,342
Retained earnings		(494,191)	(463,520)
Shareholders' deficit		(172,719)	(142,505)

Approved by the Board on 23 May 2018 and signed on its behalf by:

.....
Theresa Keating
Director

The notes on pages 13 to 33 form an integral part of these financial statements.

Howden Joinery Corporate Services

Statement of Changes in Equity for the Period from 25 December 2016 to 30 December 2017

	Called up share capital £ 000	Capital contribution reserve £ 000	Share-based payments reserve £ 000	Retained earnings £ 000	Total £ 000
At 25 December 2016	12,358	280,315	28,342	(463,520)	(142,505)
Loss for the period	-	-	-	(12,837)	(12,837)
Other comprehensive income	-	-	-	(17,900)	(17,900)
Total comprehensive income	-	-	-	(30,737)	(30,737)
Current tax on share schemes	-	-	-	124	124
Deferred tax on share schemes	-	-	-	(58)	(58)
Share based payment transactions	-	-	457	-	457
At 30 December 2017	12,358	280,315	28,799	(494,191)	(172,719)

	Share capital £ 000	Capital contribution reserve £ 000	Share-based payments reserve £ 000	Retained earnings £ 000	Total £ 000
At 27 December 2015	12,358	280,315	27,479	(384,469)	(64,317)
Loss for the period	-	-	-	(8,689)	(8,689)
Other comprehensive income	-	-	-	(70,162)	(70,162)
Total comprehensive income	-	-	-	(78,851)	(78,851)
Current tax on share schemes	-	-	-	678	678
Deferred tax on share schemes	-	-	-	(878)	(878)
Share based payment transactions	-	-	863	-	863
At 24 December 2016	12,358	280,315	28,342	(463,520)	(142,505)

The notes on pages 13 to 33 form an integral part of these financial statements.

Howden Joinery Corporate Services

Notes to the Financial Statements for the Period from 25 December 2016 to 30 December 2017

1 General information

The company is a private company limited by share capital, incorporated and domiciled in England.
The address of its registered office is:
40 Portman Square
London
W1H 6LT
England
These financial statements were authorised for issue by the Board on 23 May 2018.

2 Accounting policies

Summary of significant accounting policies and key accounting estimates
The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

Basis of preparation
These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework. They are prepared on the historical cost basis.

Summary of disclosure exemptions
As permitted by FRS 101, the Company has taken advantage of the disclosure exemptions available under that standard in relation to business combinations, share-based payment, non-current assets held for sale, financial instruments, capital management, presentation of comparative information in respect of certain assets, presentation of a cash-flow statement, standards not yet effective, impairment of assets and related party transactions.

Where relevant, equivalent disclosures have been given in the group accounts of Howden Joinery Group Plc. These group accounts are available to the public and can be obtained from this company's registered office or at http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp.

Going concern
The financial statements have been prepared on a going concern basis. This is described further in the Directors' Report.

Changes in accounting policy
None of the standards, interpretations and amendments effective for the first time from 25 December 2016 have had a material effect on the financial statements.

Revenue recognition and turnover
Revenue comprises the fair value of the consideration received or receivable for the sale of goods and provision of services in the ordinary course of the company's activities. Revenue is shown net of sales/value added tax, returns, rebates and discounts and after eliminating sales within the company.

The company recognises revenue when:
The amount of revenue can be reliably measured;
it is probable that future economic benefits will flow to the entity;
and specific criteria have been met for each of the company activities.

2 Accounting policies (continued)

Foreign currency transactions and balances
Transactions in foreign currencies are initially recorded at the functional currency rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated into the respective functional currency of the entity at the rates prevailing on the reporting period date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing on the initial transaction dates.

Non-monetary items measured in terms of historical cost in a foreign currency are not retranslated.

Tax
The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except that a change attributable to an item of income or expense recognised as other comprehensive income is also recognised directly in other comprehensive income.
The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the company operates and generates taxable income.
Deferred income tax is recognised on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements and on unused tax losses or tax credits in the company. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

The carrying amount of deferred tax assets are reviewed at each reporting date and a valuation allowance is set up against deferred tax assets so that the net carrying amount equals the highest amount that is more likely than not to be recovered based on current or future taxable profit.

Tangible assets
Property, plant and equipment is stated in the statement of financial position at cost, less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

The cost of property, plant and equipment includes directly attributable incremental costs incurred in their acquisition and installation.

Depreciation
Depreciation is charged so as to write off the cost of assets, other than assets under construction - which are not depreciated - over their estimated useful lives, as follows:

Asset class	Depreciation method and rate
Plant, machinery and vehicles	4 - 20 years
Leasehold property	the period of the lease, or the individual asset's life if shorter
Fixtures and fittings	10 years

Intangible assets
Our intangible assets represent computer software. Where computer software is not an integral part of a related item of computer hardware, the software is classified as an intangible asset. The capitalised costs of software for internal use include external direct costs of materials and services consumed in developing or obtaining the software and payroll and payroll-related costs for employees who are directly associated with and who devote substantial time to the project. Capitalisation of these costs ceases no later than the point at which the software is substantially complete and ready for its intended internal use. These costs are amortised on a straight line basis over their expected useful lives, which are reviewed annually. The expected useful lives range between three and seven years, depending on the nature of the software.

2 Accounting policies (continued)

Investments
Investments represent shares in the ultimate parent company, Howden Joinery Group Plc, which are held by employee share ownership trusts. The investments are initially recorded at cost, including purchase expenses.

Cash and cash equivalents
Cash and cash equivalents comprise cash on hand and call deposits, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of changes in value.

Trade payables
Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less (or in the normal operating cycle of the business if longer). If not, they are presented as non-current liabilities.

Trade payables are recognised initially at the transaction price and subsequently measured at amortised cost using the effective interest method.

Provisions
Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, it is probable that the group will be required to settle that obligation and a reliable estimate can be made of the amount of the obligation.

Provisions are measured at the directors' best estimate of the expenditure required to settle the obligation at the reporting date and are discounted to present value where the effect is material.

Share capital
Ordinary shares are classified as equity. Equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments. If payment is deferred and the time value of money is material, the initial measurement is on a present value basis.

Defined benefit pension obligation
Typically defined benefit plans define an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and compensation.

The liability recognised in the statement of financial position in respect of defined benefit pension plans is the present value of the defined benefit obligation at the reporting date minus the fair value of plan assets. The defined benefit obligation is measured using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future payments by reference to market yields at the reporting date on high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension liability.

Actuarial gains and losses are charged or credited to other comprehensive income in the period in which they arise. Past-service costs are recognised immediately in profit or loss.

2 Accounting policies (continued)

Share based payments

The company operates an equity-settled, share-based compensation plan, under which the entity receives services from employees as consideration for equity instruments (options) of the entity. The fair value of the employee services received is measured by reference to the estimated fair value at the grant date of equity instruments granted and is recognised as an expense over the vesting period. The estimated fair value of the option granted is calculated using a binomial option pricing model. The total amount expensed is recognised over the vesting period, which is the period over which all of the specified vesting conditions are to be satisfied.

The proceeds received net of any directly attributable transaction costs are credited to share capital (nominal value) and share premium when the options are exercised.

3 Significant accounting judgements and major sources of estimation uncertainty

The Company makes some judgements when applying its accounting policies which can have a significant effect on the amounts recognised in these financial statements. The Company also makes assumptions concerning the future and other major sources of estimation uncertainty that can result in a material adjustment to the carrying amounts of assets and liabilities within the next financial period. We discuss these below.

Actuarial assumptions

The Company operates a defined benefit scheme for its employees. There is significant judgement involved in selecting appropriate measurement bases for the actuarial assumptions used to measure the pension deficit. There is also estimation uncertainty which means that reasonable alternative assumptions could have led to measurement at a materially different amount, or that a reasonably possible change in an assumption during the next period could lead to a material change in the valuation.

The key assumptions within this calculation are discount rate, inflation rates and mortality rates. These are set out in the pensions note, together with sensitivity analysis that shows the effect that these estimates can have on the carrying value of the pension deficit.

4 Turnover

The analysis of the Company's revenue for the period from continuing operations is as follows:

	25 December 2016 to 30 December 2017 £ 000	27 December 2015 to 24 December 2016 £ 000
Management services recharged to other Group companies	43,845	40,219

5 Other gains and losses

The analysis of the company's other gains and losses for the period is as follows:

	2017 £ 000	2016 £ 000
Gain (loss) on disposal of tangible assets	(9)	(6)
Gain (loss) on disposal of intangible assets	(24)	(11)
	(33)	(17)

6 Operating profit

Arrived at after charging/(crediting)

	25 December 2016 to 30 December 2017 £ 000	27 December 2015 to 24 December 2016 £ 000
Depreciation expense	2,311	2,100
Amortisation expense	1,503	1,181
Foreign exchange gains	4	43
Operating lease expense - property	1,735	1,860
Operating lease expense - plant and machinery	530	510
Loss on disposal of property, plant and equipment	9	6

7 Interest payable and similar charges

	25 December 2016 to 30 December 2017 £ 000	27 December 2015 to 24 December 2016 £ 000
Pensions finance charge	2,400	1,000
Intercompany loan interest	3,023	1,347
	5,423	2,347

8 Staff costs

The aggregate payroll costs (including directors' remuneration) were as follows:

	2017 £ 000	2016 £ 000
Wages and salaries	7,172	7,359
Social security costs	1,546	1,961
Pension costs, defined contribution scheme	106	92
Pension costs, defined benefit scheme	20,198	17,900
Share-based payment expenses	457	863
	29,479	28,175

The defined benefit scheme charge in both periods relates to the cost of providing defined benefit pensions to the whole Howden Joinery Group, for the reasons explained at Note 17.

8 Staff costs (continued)

The average number of persons employed by the company (including directors) during the period, analysed by category was as follows:

	25 December 2016 to 30 December 2017 No.	27 December 2015 to 24 December 2016 No.
Administration and support	53	43

9 Directors' remuneration

The directors' remuneration for the period was as follows:

	25 December 2016 to 30 December 2017 £ 000	27 December 2015 to 24 December 2016 £ 000
Remuneration	3,224	3,670
Defined benefit pension	52	71
	3,276	3,741

During the period the number of directors who were receiving benefits and share incentives was as follows:

	2017 No.	2016 No.
Received or were entitled to receive shares under long term incentive schemes	4	4
Exercised share options	3	3
Accruing benefits under defined benefit pension scheme	3	3

9 Directors' remuneration (continued)

In respect of the highest paid director:

	2017 £ 000	2016 £ 000
Remuneration	1,055	1,232
Defined benefit accrued pension entitlement at the end of the period	65	59

During the period the highest paid director exercised share options and also received or was entitled to receive shares under a long term incentive scheme.

10 Auditor's remuneration

	25 December 2016 to 30 December 2017 £ 000	27 December 2015 to 24 December 2016 £ 000
Audit of the financial statements	29	26
Other fees to auditor		
All other tax advisory services	-	36

11 Income tax

Tax charged/(credited) in the income statement

	25 December 2016 to 30 December 2017 £ 000	27 December 2015 to 24 December 2016 £ 000
Current taxation		
UK corporation tax	(6,654)	(7,238)
UK corporation tax adjustment to prior periods	(214)	(337)
	(6,868)	(7,575)
Deferred taxation		
Arising from origination and reversal of temporary differences	3,995	6,526
Arising from previously unrecognised tax loss, tax credit or temporary difference of prior periods	(91)	(140)
Total deferred taxation	3,904	6,386
Tax receipt in the income statement	(2,964)	(1,189)

The tax on profit before tax for the period is higher than the standard rate of corporation tax in the UK (2016 - higher than the standard rate of corporation tax in the UK) of 19.25% (2016 - 20%).

The differences are reconciled below:

	2017 £ 000	2016 £ 000
Loss before tax	(15,801)	(9,878)
Corporation tax at standard rate	(3,042)	(1,976)
Increase (decrease) in tax from adjustment for prior periods	(306)	(489)
Increase (decrease) from effect of expenses not deductible in determining taxable profit (tax loss)	634	934
Increase (decrease) from effect of exercise employee share options	(262)	80
Deferred tax expense (credit) relating to changes in tax rates or laws	12	262
Total tax credit	(2,964)	(1,189)

11 Income tax (continued)

Deferred tax

On the 16 March 2016, the Chancellor of the Exchequer announced a further 1% reduction to the previously announced 18% main rate of UK corporation tax to 17% from 1 April 2020. This change was substantively enacted in September 2016. All deferred tax assets and liabilities have been measured at the tax rates that are expected to apply to the period when the asset is realised or liability is settled. At the balance sheet date the company had unused tax losses of £31m which may only be offset against profits of the company itself. Deferred tax assets are not recognised in relation to these losses as it is not considered probable that suitable future taxable profits will be available in the company against which the unused losses can be utilised.

Deferred tax movement during the period:

	At 25 December 2016 £ 000	Recognised in income £ 000	Recognised in other comprehensive income £ 000	Recognised in equity £ 000	At 30 December 2017 £ 000
Pension benefit obligations	20,163	(3,570)	4,174	-	20,767
Provisions	96	103	-	-	200
Accelerated tax depreciation	1,272	59	-	-	1,331
Share-based payment	596	(496)	-	(57)	42
Net tax assets/(liabilities)	22,127	(3,904)	4,174	(57)	22,340

Deferred tax movement during the prior period:

	At 27 December 2015 £ 000	Recognised in income £ 000	Recognised in other comprehensive income £ 000	Recognised in equity £ 000	At 24 December 2016 £ 000
Pension benefit obligations	9,831	(5,920)	16,252	-	20,163
Provisions	74	22	-	-	96
Accelerated tax depreciation	1,241	32	-	-	1,272
Share-based payment	1,993	(520)	-	(878)	596
Net tax assets/(liabilities)	13,139	(6,386)	16,252	(878)	22,127

12 Property, plant and equipment

	Leasehold property £ 000	Fixtures & fittings £ 000	Assets under construction £ 000	Other property, plant and equipment £ 000	Total £ 000
Cost or valuation					
At 25 December 2016	3,762	483	1,503	36,730	42,478
Additions	372	73	756	1,491	2,692
Disposals	-	-	-	(1,212)	(1,212)
Transfers	-	-	(1,369)	23	(1,346)
At 30 December 2017	4,134	556	890	37,032	42,612
Depreciation					
At 25 December 2016	2,413	413	-	32,359	35,185
Charge for the period	391	29	-	1,890	2,310
Eliminated on disposal	-	-	-	(1,180)	(1,180)
At 30 December 2017	2,804	442	-	33,069	36,315
Carrying amount					
At 30 December 2017	1,330	114	890	3,963	6,297
At 24 December 2016	1,349	70	1,503	4,371	7,293

13 Intangible assets

	Asset under construction £ 000	Other intangible assets £ 000	Total £ 000
Cost or valuation			
At 25 December 2016	-	8,681	8,681
Additions	6,252	1,587	7,839
Disposals	-	(237)	(237)
Transfers	1,346	-	1,346
At 30 December 2017	7,598	10,031	17,629
Amortisation			
At 25 December 2016	-	5,768	5,768
Amortisation charge	-	1,504	1,504
Amortisation eliminated on disposals	-	(213)	(213)
At 30 December 2017	-	7,059	7,059
Carrying amount			
At 30 December 2017	7,598	2,972	10,570
At 24 December 2016	-	2,913	2,913

14 Investments

	30 December 2017 £ 000	24 December 2016 £ 000
Investment in shares of ultimate parent company	68,789	54,274

14 Investments (continued)

	30 December 2017 £ 000	24 December 2016 £ 000
Cost		
At 25 December	55,249	39,044
Additions	16,620	16,205
Disposals	(3,080)	(975)
At 30 December	68,789	54,274
Carrying amount		
At 30 December	68,789	54,274

The investment is in the listed ordinary shares of the Company's ultimate parent, Howden Joinery Group Plc. The shares are held in employee share ownership trusts.

15 Trade and other debtors

	30 December 2017 £ 000	24 December 2016 £ 000
Trade debtors	123	6
Debtors from related parties	406,984	201,964
Prepayments	3,135	3,706
Other debtors	1,619	840
	411,861	206,516

16 Cash and cash equivalents

	30 December 2017 £ 000	24 December 2016 £ 000
Cash at bank	50	195

17 Share capital

Allotted, called up and fully paid shares

	30 December 2017		24 December 2016	
	No. 000	£ 000	No. 000	£ 000
Ordinary shares of £1 each	12,358	12,358	12,358	12,358

18 Obligations under leases and hire purchase contracts

Operating leases

The total future value of minimum lease payments is as follows:

	30 December 2017 £ 000	24 December 2016 £ 000
Within one year	2,195	1,798
In two to five years	6,570	6,268
In over five years	2,755	4,243
	11,520	12,309

The amount of non-cancellable operating lease payments recognised as an expense during the period was £2,265,000 (2016 - £2,329,000)

Sublease arrangements

Rent from sublease of unused properties.

Total future minimum sublease income under non-cancellable operating leases expected to be received is £204,070 (2016 - £574,638).

The amount of income recognised in the period from non-cancellable operating subleases was £574,638 (2016 - £431,291).

19 Pension and other schemes

Defined contribution pension scheme

The company operates a defined contribution pension scheme. The pension cost charge for the period represents contributions payable by the company to the scheme and amounted to £106,196 (2016 - £91,981).

19 Pension and other schemes (continued)

Defined benefit pension schemes
Howden Joinery Group Defined Benefit Plan

Plans that share risks between entities under common control
Characteristics and risks of the plan:
The Howden Joinery Group operates a funded pension plan which provides benefits based on the career average pensionable pay of participating employees. This plan was closed to new entrants from April 2013.

The plan shares risks between wholly-owned Group subsidiaries which are each under the control of the ultimate parent company. These risks are shared between this Company and two other wholly-owned Group subsidiaries.
There is no contractual agreement or stated policy for charging the net defined benefit cost between the participating subsidiaries and this Company is the sponsoring employer, so the entire net defined benefit pension cost, and the entire pension deficit, appears in this Company's accounts.
The assets of the plan are held separately from those of the Group, being held in a trustee-administered pension plan and invested with independent fund managers. The trustee directors of the plan comprise three member-elected trustees, two independent trustees, and three Group-appointed trustees. All trustees are required to act in the best interests of the plan beneficiaries.

The plan exposes the Group to actuarial risks, such as longevity risk, interest rate risk, and market (investment) risk.
Funding and estimated contributions
The Group has an agreement with the pension plan trustees to make additional deficit contributions to the plan over and above the normal level of contributions of £35m per year until 30 June 2017, and then £25m per year until 30 June 2018.
Contributions payable to the pension scheme at the end of the period are £Nil (2016 - £Nil).

Funding arrangements beyond June 2018 are in the process of being agreed with the plan trustees together with the April 2017 valuation. The Group's estimated total cash contributions to the defined benefit plan in the 52 weeks ending 29 December 2018 will depend on these funding arrangements, so they cannot be accurately estimated at the the time of approving these financial statements.
The scheme was most recently valued on 5 April 2014.

Accounting and actuarial valuation
Contributions are charged to the consolidated income statement so as to spread the cost of pensions over the employees' working lives with the Group. The present value of the defined benefit obligation, the related current service cost, and past service cost are determined by a qualified actuary using the projected unit method. The most recent completed actuarial valuation was carried out at 5 April 2014 by the plan actuary. The actuary advising the Group has subsequently rolled forward the results of the 5 April 2014 valuation to 30 December 2017 and has restated the results onto a basis consistent with market conditions at that date.

19 Pension and other schemes (continued)

Reconciliation of scheme assets and liabilities to assets and liabilities recognised
The amounts recognised in the statement of financial position are as follows:

	30 December 2017 £ m	24 December 2016 £ m
Fair value of scheme assets	1,265	1,178
Present value of scheme liabilities	(1,374)	(1,284)
Defined benefit pension scheme deficit	(109)	(106)

Scheme assets
Changes in the fair value of scheme assets are as follows:

	30 December 2017 £ m	24 December 2016 £ m
Fair value at start of period	1,178	993
Interest income	34	37
Return on plan assets, excluding amounts included in interest income/(expense)	57	134
Employer contributions	41	49
Benefits paid	(45)	(35)
Fair value at end of period	1,265	1,178

Analysis of assets
The major categories of scheme assets are as follows:

	30 December 2017 £m	24 December 2016 £m
Cash and cash equivalents	13	12
Equity instruments	390	372
Debt instruments	616	560
Investment funds	246	234
	1,265	1,178

19 Pension and other schemes (continued)

Equity instruments
Equity instruments can be further categorised as follows:

	30 December 2017 £m	24 December 2016 £m
Quoted		
Passive equities	136	114
Low-volatility equities	228	215
	364	329
Unquoted		
Private equity	27	43
	391	372

Debt instruments
Debt instruments can be further categorised as follows:

	30 December 2017 £m	24 December 2016 £m
Quoted		
Corporate bonds	157	125
Government bonds	459	436
	616	561

Investment funds
Investment funds can be further categorised as follows:

	30 December 2017 £m	24 December 2016 £m
Quoted		
Commercial property fund	89	82
Fund of hedge funds	89	84
Absolute return fund	68	67
	246	233

The trustees' current chosen long-term asset allocation strategy for the plan, as noted in the plan's most recent audited accounts (for the year to 5 April 2017), is to target an allocation of 55% in return-seeking assets (such as equities, alternative growth assets, private equity and the commercial property fund), and 45% in risk-reducing assets (such as government bonds, corporate bonds, and cash and cash equivalents).

19 Pension and other schemes (continued)

Actual return on scheme's assets

	30 December 2017 £m	24 December 2016 £m
Actual return on scheme assets	91	171

The pension scheme has not invested in any of the company's own financial instruments or in properties or other assets used by the company.

Scheme liabilities

Changes in the present value of scheme liabilities are as follows:

	30 December 2017 £m	24 December 2016 £m
Present value at start of period	1,284	1,042
Current service cost	20	18
Actuarial gains and losses arising from changes in financial assumptions	83	233
Actuarial gains and losses arising from experience adjustments	(4)	(12)
Interest cost	36	38
Benefits paid	(44)	(35)
Present value at end of period	1,375	1,284

Principal actuarial assumptions

The significant actuarial assumptions used to determine the present value of the defined benefit obligation at the statement of financial position date are as follows:

	30 December 2017 %	24 December 2016 %
Discount rate	2.50	2.85
Future salary increases	4.40	4.50
Future pension increases - from 2.25% to 3.35%	3.35	3.55
Inflation - RPI	3.40	3.50

19 Pension and other schemes (continued)

Post retirement mortality assumptions

	30 December 2017 Years	24 December 2016 Years
Current UK pensioners at retirement age - male	23	23
Current UK pensioners at retirement age - female	25	24
Future UK pensioners at retirement age - male	25	25
Future UK pensioners at retirement age - female	27	27

Amounts recognised in the income statement

	30 December 2017 £m	24 December 2016 £m
Amounts recognised in operating profit		
Current service cost	(18)	(15)
Administrative expenses paid	(2)	(3)
Recognised in arriving at operating profit	(20)	(18)
Amounts recognised in finance income or costs		
Net interest	(2)	(1)
Total recognised in the income statement	(22)	(19)

19 Pension and other schemes (continued)

Amounts taken to the Statement of Comprehensive Income

	30 December 2017 £m	24 December 2016 £m
Actuarial gains and losses arising from changes in financial assumptions	(83)	(232)
Actuarial gains and losses arising from experience adjustments	4	13
Return on plan assets, excluding amounts included in interest income/(expense)	57	133
Amounts recognised in the Statement of Comprehensive Income	(22)	(86)

Sensitivity analysis

A sensitivity analysis for the principal assumptions used to measure scheme liabilities is set out below:

		30 December 2017			24 December 2016	
Adjustment to discount rate	**+ 0.25% £ 000**	**0.0% £ 000**	**- 0.25% £ 000**	**+ 0.25% £ 000**	**0.0% £ 000**	**- 0.25% £ 000**
Present value of total obligation	(1,297,600)	(1,374,600)	(1,451,600)	-	(1,284,000)	(1,355,000)

		30 December 2017			24 December 2016	
Adjustment to rate of inflation	**+ 0.25% £ 000**	**0.0% £ 000**	**- 0.25% £ 000**	**+ 0.25% £ 000**	**0.0% £ 000**	**- 0.25% £ 000**
Present value of total obligation	(1,411,600)	(1,374,600)	(1,337,600)	(1,316,000)	(1,284,000)	-

		30 December 2017			24 December 2016	
Adjustment to mortality age rating assumption	**+ 1 Year £ 000**	**None £ 000**	**- 1 Year £ 000**	**+ 1 Year £ 000**	**None £ 000**	**- 1 Year £ 000**
Present value of total obligation	(1,401,600)	(1,374,600)	(1,347,600)	(1,310,000)	(1,284,000)	-

The weighted average duration of the defined benefit obligation at both the current and prior period ends was 21 years.

20 Share-based payments

The ultimate parent company, Howden Joinery Group Plc ("the Group") operates various share-based payment schemes for employees in its subsidiary companies, all of which relate to shares in the Group. There are no share-based payment schemes relating to the shares in the Company. The various Group schemes are described below.

20 Share-based payments (continued)

Share Incentive Scheme ("Freeshares")

Scheme description

This is an all-employee share incentive plan whereby participants receive a grant of free shares in the Group. If the employees are still employed by the Group three years after the grant, then the shares vest. Dividends are paid out on the shares between award date and vesting date. There are no other performance conditions attached to these awards.

Share Award Plan

Scheme description

This is a discretionary plan under which the Group may grant nil cost options subject to conditions as determined by the Group. The shares will vest at the end of a five year period commencing on the date of grant, subject to continuing employment.

Co-investment Plan ("COIP")

Scheme description

This is a co-investment plan where each participant is permitted to invest a limited amount of shares on an annual basis for the purposes of the Plan. Details of the plan conditions are as follows:
Date of award: 2015; 2016
Vesting based on growth in profits - from year ended December: 2014; 2015
for the three-year period ending with the year ended December: 2017; 2018
Award vests at 15% if profits over the vesting period grow by: 8%; 8%
Award vests at 100% if profits over the vesting period grow by: 20%; 20%

If profits grow by a figure between the upper and lower thresholds for each year, the award will vest on a sliding scale.

Howden Joinery Group Long Term Incentive Plan ("LTIP")

Scheme description

This is a discretionary plan under which the Group may grant different types of share award including market value and nil cost options, conditional awards of shares and restricted shares (where the employee is the owner of the shares from the date of award but subject to forfeiture). The different types of awards are as follows:
(i) Market value options, the vesting period for which is three years from the date of grant with an exercise period of seven years (i.e. a total life of ten years). Options will vest if cumulative PBT of £90m is achieved over the three financial years ending 2009, 2010 and 2011.
(ii) Market value options which vest after a three year period from the date of grant. 15% of the options will vest if the group achieves growth in pre-exceptional PBT equivalent to RPI over the performance period; 100% will vest if pre-exceptional PBT growth is equivalent to RPI + 8% is achieved.
(iii) Conditional Share Award - shares will vest at the end of a three year period commencing on the date of grant subject to continuing employment.
(iv) Market value options. The vesting conditions for these options are the same as for that year's COIP, which are shown above
(v) Performance share plan. Vesting conditions are as follows:
Date of award: 2015; 2016
Vesting based on growth in profits - from year ended December: 2014; 2015
for the three-year period ending with the year ended December: 2017; 2018
Award vests at 15% if profits over the vesting period grow by: 8%; 8%
Award vests at 100% if profits over the vesting period grow by: 20%; 20%

21 Other provisions

	Legal proceedings £ 000	Leases £ 000	Total £ 000
At 25 December 2016	-	2,770	2,770
Additional provisions	2,000	-	2,000
Provisions used	-	(192)	(192)
At 30 December 2017	2,000	2,578	4,578

22 Trade and other payables

	30 December 2017 £ 000	24 December 2016 £ 000
Trade payables	2,240	2,046
Accrued expenses	7,790	9,731
Amounts due from fellow Group companies	567,733	314,358
Social security and other taxes	1,016	903
Other payables	8	1
	578,787	327,039

23 Parent and ultimate parent undertaking

The company's immediate parent is Howden Joinery Group Plc.

The ultimate parent, who produces consolidated financial statements which include this company is Howden Joinery Group Plc.

The most senior parent entity producing publicly available financial statements, and the only other entity who produces consolidated financial statements which include this company is Howden Joinery Group Plc. These financial statements are available on request from 40 Portman Square, London W1H 6LT, or http://howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp